HRM - Unit III

Training, Performance Appraisal, Career Management and Succession Planning

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
BBA III Sem · Human Resource Management · CSJM University. Units I-II notes and answers are written from standard HRM knowledge; Units III-IV follow your PDFs.

Part A - Notes

1. Training and development

Training	Development
Improves skills for the PRESENT job	Prepares for FUTURE roles
Short term, job-specific	Long term, career oriented
Mostly workers	Mostly managers

Need and importance

For employees	For the organisation
Better skills and confidence	Higher productivity and quality
Career growth	Lower turnover
Job security	Competitive advantage

Identifying training needs - three levels of analysis

Level	What is studied
Organisational	Goals, resources and climate
Task (job)	Knowledge and skills the job requires
Person	Which employees need training and what type

Training methods

On-the-job	Off-the-job
Coaching, job rotation, apprenticeship, understudy	Lectures, case study, role play, simulation, vestibule training
Merit: practical, low cost	Merit: controlled learning, no disturbance to production
Demerit: poor trainer or disturbance to production may affect learning	Demerit: may be costly, lacks real conditions

Training evaluation - Kirkpatrick's four levels

1. **Reaction** - trainee satisfaction
2. **Learning** - knowledge and skills gained
3. **Behaviour** - use of learning on the job
4. **Results** - impact on organisational results

2. Performance appraisal

Performance appraisal is a process of evaluating an employee's performance of a job in terms of its requirements. **Beach:** systematic evaluation of the performance of an individual on the job and also his/her potential for development. It is systematic, objective, periodic and planned (never random).

Objectives: compensation and promotion decisions, training needs, feedback and personal development.

Process (steps)

1. Establish performance standards (first step)
2. Communicate the standards
3. Measure actual performance
4. Compare actual with standards
5. Discuss the results (feedback)
6. Decision making and corrective action (last step)

Traditional vs modern methods

Traditional	Modern
Straight ranking, paired comparison, grading scale, forced distribution, checklist, essay, critical incidents, field review, confidential reports, performance tests, group appraisal	Assessment centre, MBO, 360-degree, human asset accounting, BARS

Method	Key point
Straight ranking	Employees ranked from best to worst
Paired comparison	Each employee compared with every other, one trait at a time
Forced distribution	Fit employees into set categories (outstanding ... poor)
Critical incident	Dated records of good and bad incidents
Field review	Trained HR person in the field supports line managers
Group appraisal	A panel evaluates the employee
Assessment centre	Simulated tasks rated by observers; German Army, 1930
MBO	Appraisal by results; joint SMART goals (Drucker, McGregor)
360-degree	Superiors, subordinates and peers rate
BARS	Scale 5 Outstanding, 4 Very Good, 3 Satisfactory, 2 Needs improvement, 1 Poor, anchored to behaviours
Human asset accounting	Values people as assets in money terms

SMART: Specific, Measurable, Achievable, Result-oriented, Time-bound.

Appraisal biases

Bias	Meaning
Halo effect	One strong trait inflates all ratings
Horns effect	One weak trait lowers all ratings
Leniency	Rating higher than deserved
Strictness	Rating lower than deserved
Central tendency	Rating everyone average
Recency	Judging only recent events

Overcoming challenges: two-way dialogue and regular check-ins (not once-a-year feedback), train appraisers, clear KPIs, technology, 360-degree feedback.

3. Career management

- **Career management:** continuous process of preparing, implementing and monitoring career plans.
- **Career path:** series of positions through which one can be promoted, transferred and rotated (HR Executive → Sr Executive → HR Manager → HR Director).
- **Career development:** linking individual career needs with the organisation's workforce requirements.

Individual career management	Organisational career management
Person's own goals; self-assessment	Organisation's workforce needs; planned moves

Party	Responsibility
Individual	Self-assessment, goals, skill development
Manager	Feedback, coaching, support
Organisation	Opportunities, training, career paths

4. Succession planning

Identifying, evaluating, developing and tracking **high-potential employees for future leadership roles**, so the company runs smoothly when key people leave.

1. Identify the positions included
2. Identify the employees
3. Set standards
4. Assess potential
5. Review the process
6. Link with HR systems
7. Give feedback to employees
8. Measure effectiveness

Type	Meaning
Strategic leadership development	Long-term preparation of leaders
Departure-defined	Started only when a key employee leaves
Emergency / interim	Short-term replacement in sudden situations

Challenges: resistance to change, limited resources, inadequate planning, lack of buy-in, incomplete information.

Quick revision - Unit III

- Training = present job; development = future
- TNA levels: organisational, task, person
- Kirkpatrick: reaction, learning, behaviour, results
- PA steps: standards → communicate → measure → compare → discuss → decide
- Modern methods: assessment centre, MBO, 360, HR accounting, BARS
- Biases: halo, horns, leniency, strictness, central tendency
- Succession planning: 8 steps, 3 types

Part B - Important questions

1. Define training and development. Explain their need and importance for employees and organizations in a competitive environment.
2. Explain the process of identifying training needs. Discuss the three levels of analysis with suitable examples.
3. Discuss the various on-the-job and off-the-job training techniques. OR Compare on-the-job and off-the-job training methods. Discuss merits and demerits.
4. How is the effectiveness of training evaluated? Explain various training evaluation models.
5. Define performance appraisal and explain its concept and objectives. Why is it considered an important tool of HRM?
6. Distinguish between traditional and modern methods of performance appraisal.
7. Discuss the common biases in performance appraisal. How can an organization minimize them?
8. Define career planning and career development. Explain their objectives and importance for both employees and organizations.
9. What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity in an organization?
10. Distinguish between individual career management and organizational career management. Discuss the responsibilities of the individual, the manager and the organization.

Part C - Detailed model answers (21 answers)

Q1. [2 marks] Define training and development.

Training & Development

Training is a planned effort to improve an employee's knowledge, skills and attitude for the **present job**. **Development** is the long-term growth of employees to prepare them for **future roles and responsibilities**.

- Training is short term and job-specific; development is long term and career oriented.
- Both raise performance and prepare employees for change.

Example: Teaching a cashier to use new billing software (training); preparing a manager for the director's post (development).

Marking scheme: Both definitions 1.5 · example 0.5

Asked in: Important Questions - Unit 3, Q1

Q2. [3 marks] Distinguish between training and development.

Training & Development

Basis	Training	Development
Meaning	Improving skills for the present job	Growth for future positions
Time period	Short term	Long term
Focus	Job-specific skills	Overall growth and career
Who	Mostly workers and operatives	Mostly managers

Training improves present performance; development prepares for future roles.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 3, Q1

Q3. [6 marks] Define training and development. Explain their need and importance for employees and organisations in a competitive environment.

Training & Development

Introduction

In a competitive environment skilled and adaptable employees decide success. **Training** improves skills for the present job (short term); **development** prepares people for future roles (long term).

Need

- Rapid change in technology and job requirements.
- Gap between required and actual performance.
- New employees need induction and skills.

Importance

For employees	For the organisation
Better skills and confidence	Higher productivity and quality
Career growth and promotion	Lower turnover and absenteeism
Job security and satisfaction	Competitive advantage and flexibility
Fewer mistakes and accidents	Better customer service

Marking scheme: Definitions 2 · need 1.5 · importance 2.5

Asked in: Important Questions - Unit 3, Q1

Q4. [6 marks] Explain the process of identifying training needs. Discuss the three levels of analysis with suitable examples.

Training & Development

Introduction

A **training need** is the gap between the required and the actual performance. Needs are identified through analysis at three levels.

Level	What is studied	Example
Organisational analysis	Organisation's goals, resources and climate - where is training needed?	The firm adopts a new software, so staff need training
Task (job) analysis	Knowledge and skills required to perform the job	A cashier needs billing-system skills
Person analysis	Which employees need training and what type, based on appraisal results	An executive with low sales scores needs selling skills

Process

1. Study the organisation's goals and plans.
2. Analyse the job and the skills required.
3. Assess employees' performance gaps.
4. Prepare the training plan.

Marking scheme: Introduction 1 · three levels with examples 4 · process 1

Asked in: Important Questions - Unit 3, Q2

Q5. [10 marks] Discuss the various on-the-job and off-the-job training techniques. Compare them and discuss their merits and demerits.

Training & Development

1. Introduction

Training methods are broadly classified into **on-the-job** (given at the workplace while working) and **off-the-job** (given away from the actual work).

2. On-the-job methods

- **Coaching:** learning from a supervisor or mentor at the workplace.
- **Job rotation:** moving the employee through different jobs to widen skills.
- **Apprenticeship:** learning a skill under an experienced person for a long period.
- **Understudy:** training a person to take over the superior's job.

3. Off-the-job methods

- **Lectures:** classroom or seminar teaching.
- **Case study:** discussion of real business situations.
- **Role playing:** acting out situations.
- **Simulation / vestibule training:** a replica of the workplace away from production lets trainees practise without disturbing production.

4. Comparison

Basis	On-the-job	Off-the-job
Place	At the workplace	Away from work
Merits	Practical and low cost; learning by doing	Controlled learning; no disturbance to production; theory and concepts
Demerits	A poor trainer or disturbance to production may affect learning	May be costly and lacks real work conditions

Suitable for	Practical skills	Conceptual and technical knowledge

Example: A bank trains a new clerk by job rotation (on the job) and sends the officer to a classroom case-study workshop (off the job).

5. Conclusion

A combination of both methods gives the best results because it joins practice with theory.

Marking scheme: Introduction 1 · on-the-job 2 · off-the-job 2 · comparison 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 3, Q3

Q6. [5 marks] How is the effectiveness of training evaluated? Explain various training evaluation models.

Training Evaluation

Introduction

Training evaluation measures **whether training achieved its objectives** and whether the cost was worth it. The best-known model is **Kirkpatrick's four-level model**.

Level	Measures	Method
1. Reaction	Trainees' satisfaction with the programme	Feedback forms
2. Learning	Knowledge and skills gained	Tests before and after
3. Behaviour	Whether trainees use the learning on the job	Supervisor observation
4. Results	Impact on organisational results (productivity, quality, cost)	Performance data

Conclusion: evaluation at all four levels shows if training is useful and where to improve it.

Marking scheme: Introduction 1 · four levels 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 3, Q4

Q7. [2 marks] Define performance appraisal.

Performance Appraisal

Performance appraisal is a process of **evaluating an employee's performance of a job in terms of its requirements**. According to Beach, it is the systematic evaluation of the performance of an individual on the job and also his or her **potential for development**.

- It is systematic, objective, periodic and planned.
- Its results are used for pay, promotion and training decisions.

Example: A yearly review of a salesperson's targets and achievements.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q8. [3 marks] Explain the objectives of performance appraisal.

Performance Appraisal

Performance appraisal serves several purposes for both employees and the organisation.

1. **Compensation and promotion decisions:** pay rises, bonus and promotions are based on performance.
2. **Training and development:** weak areas show who needs training.
3. **Feedback and personal development:** employees learn how they are doing and how to improve.

It also helps in placement, motivation and manpower planning.

Marking scheme: Three objectives with explanation 2.5 · other points 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q9. [5 marks] Explain the process of performance appraisal.

Performance Appraisal

Introduction

Performance appraisal is carried out in a series of steps.

1. **Establishing performance standards** - the first step: what is expected from each job.
2. **Communicating standards** and expectations to the employees.
3. **Measuring actual performance** - by observation, reports and records.
4. **Comparing actual performance with standards.**
5. **Discussing the results** with the employee - giving feedback.
6. **Decision making and corrective action** - the last step: pay rise, promotion, training or other action.

Conclusion: measuring comes before comparing, and decisions follow the discussion.

Marking scheme: Introduction 0.5 · six steps 4 · conclusion 0.5

Asked in: · Unit 3 Performance Appraisal slides

Q10. [6 marks] Define performance appraisal and explain its concept and objectives. Why is it an important tool of HRM?

Performance Appraisal

Introduction

Performance appraisal is a process of evaluating an employee's performance of a job in terms of its requirements. Beach: the systematic evaluation of the performance of an individual on the job and also his or her potential for development.

Concept

- Systematic and planned - not casual opinion.
- Objective - based on set standards.
- Periodic - done at regular intervals.
- It judges both present performance and future potential.

Objectives

- Compensation and promotion decisions.
- Training needs.
- Feedback and personal development.

Importance

It links employee efforts to organisational goals, motivates people through feedback and gives facts for most HR decisions - pay, promotion, transfer, training and career planning.

Marking scheme: Definition 1.5 · concept 1.5 · objectives 1.5 · importance 1.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q11. [10 marks] Distinguish between traditional and modern methods of performance appraisal.

Performance Appraisal

1. Introduction

Methods of appraisal are classified as traditional (older, trait-based, supervisor judgement) and modern (results-

and development-oriented, with wider participation).

2. Traditional methods

Method	Meaning
Straight ranking	Employees are ranked from best to worst
Paired comparison	Each employee is compared with every other, one trait at a time
Forced distribution	Employees are fitted into set categories such as outstanding, above average, average, below average, poor
Critical incident	Dated records of specific positive and negative incidents
Field review	A trained HR person in the field supports line managers in rating
Group appraisal	A panel evaluates the employee
Others	Grading scale, checklist, essay, confidential reports, performance tests

3. Modern methods

Method	Meaning
Assessment centre	Participants perform tasks in simulated environments and assessors rate them; first used in the German Army in 1930
MBO (appraisal by results)	Employee and manager set SMART goals jointly (Drucker, McGregor); performance is judged against them
360-degree appraisal	Superiors, subordinates and peers rate the employee
BARS	Behaviourally Anchored Rating Scale: numerical scale (5 Outstanding to 1 Poor) anchored to behaviour examples
Human asset accounting	Values people as assets in money terms

4. Distinction

Basis	Traditional	Modern
Focus	Personal traits and past performance	Results, behaviour and development
Rater	Usually the supervisor	Several raters
Objectivity	More subjective	More objective
Cost	Low	Higher

5. Conclusion

Traditional methods are simple but subjective; modern methods are more objective and development-oriented but costlier. A mix suits most organisations.

Marking scheme: Introduction 1 · traditional 2.5 · modern 2.5 · distinction 3 · conclusion 1

Asked in: Important Questions - Unit 3, Q6 · Unit 3 Performance Appraisal slides

Q12. [3 marks] Write short notes on: (a) BARS (b) MBO (c) 360-degree appraisal.

Performance Appraisal

1. **BARS (Behaviourally Anchored Rating Scale):** combines a rating scale with the critical incident idea. Each point on the numerical scale (5 Outstanding, 4 Very Good, 3 Satisfactory, 2 Needs Improvement, 1 Poor) is described by an example of behaviour.
2. **MBO (Management by Objectives):** also called appraisal by results. Employee and manager jointly set specific goals (SMART - Specific, Measurable, Achievable, Result-oriented, Time-bound) and performance is measured against them. It grew from the work of Drucker and McGregor.
3. **360-degree appraisal:** the employee is rated by superiors, subordinates and peers (and sometimes customers); multiple raters improve accuracy.

Marking scheme: 1 mark for each note

Asked in: · Unit 3 Performance Appraisal slides

Q13. [6 marks] Discuss the common biases in performance appraisal. How can an organisation minimise them?

Performance Appraisal

Introduction

Appraisal is done by people, so judgement errors (biases) may enter and make the result unfair.

Bias	Meaning	Example
Halo effect	One strong trait inflates the ratings on all traits	A punctual employee is rated high on everything
Horns effect	One weak trait lowers all ratings	One mistake colours the whole rating
Leniency bias	Rating higher than deserved	Giving all employees high scores
Strictness bias	Rating lower than deserved	Giving low scores to avoid raises
Central tendency	Rating everyone around the average to avoid hard talks	All employees rated 3
Recency effect	Judging only on recent events	Last month's performance only

How to minimise

- Train the appraisers.
- Set clear, objective criteria and KPIs.
- Give regular feedback and promote two-way dialogue, not once-a-year reviews.
- Use technology and 360-degree feedback.

Marking scheme: Introduction 0.5 · biases 3 · remedies 2.5

Asked in: Important Questions - Unit 3, Q7 · Unit 3 Performance Appraisal slides

Q14. [5 marks] What are the challenges of performance appraisal and how can they be overcome?

Performance Appraisal

Challenges

- **Biases of raters** such as halo, horns, leniency and central tendency.
- **Infrequent feedback:** in annual reviews employees come to know about problems only when it is too late for correction.
- **Unclear criteria** and lack of acceptance by employees.

Ways to overcome

- Promote **two-way dialogue and regular check-ins** instead of one annual review.
- Train appraisers.
- Set clear KPIs and share the criteria.
- Use technology and 360-degree feedback.

Marking scheme: Challenges 2.5 · remedies 2.5

Asked in: · Unit 3 Performance Appraisal slides

Q15. [2 marks] What is career management? Define career path.

Career Management

Career management is the **continuous process of preparing, implementing and monitoring career plans**. It can be done by the employee alone or together with the organisation.

A **career path** is the series of positions through which an individual can be promoted, transferred or rotated.

Example: HR Executive → Senior HR Executive → HR Manager → HR Director.

Marking scheme: Career management 1 · career path 0.5 · example 0.5

Asked in: Important Questions - Unit 3, Q8

Q16. [5 marks] Define career planning and career development. Explain their objectives and importance for employees and organisations.

Career Management

Introduction

Career planning is the process by which an individual identifies his career goals and the path to reach them. **Career development** is the process of systematically linking an individual's career needs with the organisation's workforce requirements.

Objectives

- Match individual aspirations with organisational opportunities.
- Retain and develop talented people.
- Prepare employees for future roles.

Importance

For employees	For the organisation
Clear goals and direction	A skilled and committed workforce
Growth, promotion and satisfaction	Lower turnover
Better use of strengths	A supply of future leaders

Marking scheme: Definitions 1.5 · objectives 1.5 · importance 2

Asked in: Important Questions - Unit 3, Q8

Q17. [6 marks] Distinguish between individual career management and organisational career management. Discuss the responsibilities of the individual, the manager and the organisation.

Career Management

Difference

Basis	Individual career management	Organisational career management
Focus	The person's own goals and needs	The organisation's workforce needs
Done by	The employee through self-assessment and planning	The organisation through planned career moves and programmes
Aim	Personal growth and satisfaction	A supply of skilled people for the firm

Responsibilities

Party	Responsibility
Individual	Self-assessment of aspirations and needs, setting goals, developing skills
Manager	Feedback, coaching, discussing career plans, supporting development
Organisation	Providing opportunities, training, career paths and information

Marking scheme: Difference 3 · responsibilities 3

Asked in: Important Questions - Unit 3, Q10

Q18. [2 marks] What is succession planning?

Succession Planning

Succession planning is the process of **identifying, evaluating, developing and tracking high-potential employees** for future leadership roles.

- It prepares replacements in advance so that the business runs smoothly when key people leave.
- It is part of strategic HR planning.

Example: A company grooms a general manager to become the next director.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q9

Q19. [3 marks] Explain the types of succession planning.

Succession Planning

1. **Strategic leadership development:** a long-term plan that prepares future leaders over several years.
2. **Departure-defined succession planning:** started only when a key employee leaves or is about to leave.
3. **Emergency / interim succession planning:** a short-term arrangement that temporarily assigns a replacement when a key person is suddenly unavailable, so that important responsibilities continue.

Marking scheme: Three types 1 each

Asked in: Important Questions - Unit 3, Q9

Q20. [5 marks] Explain the benefits and challenges of succession planning.

Succession Planning

Benefits

- **Leadership continuity** when key managers retire or resign.
- **Retention and motivation** - employees see growth opportunities.
- **Smooth running** of the business and reduced disruption.
- **Reduced cost and time** of finding a replacement in an emergency.

Challenges

- Resistance to change and lack of employee buy-in.
- Limited resources.
- Inadequate planning and incomplete information.

Marking scheme: Benefits 3 · challenges 2

Asked in: Important Questions - Unit 3, Q9

Q21. [10 marks] What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity in an organisation?

Succession Planning

1. Introduction

Succession planning is the process of identifying, evaluating, developing and tracking high-potential employees for future leadership roles. It helps a company to run smoothly when key people leave.

2. Process (steps)

1. Identify which **positions** are included in the plan.
2. Identify the **employees** who can fill them.
3. Set **standards** (competencies) for the positions.
4. Assess the **potential** of employees.
5. **Review** the process.
6. Link the plan with **HR systems** (training, appraisal, pay).
7. Give **feedback** to employees.
8. **Measure the effectiveness** of the plan.

3. Objectives

- Ensure leadership continuity.
- Build a pool of ready talent.
- Retain and motivate high performers.

4. Types

- Strategic leadership development, departure-defined and emergency / interim succession planning.

5. Benefits and challenges

Benefits	Challenges
Continuity of leadership	Lack of employee buy-in
Lower hiring cost and risk	Limited resources
Higher morale and retention	Inadequate planning and incomplete information

Example: A bank identifies 10 branch managers as future regional heads, trains them and rotates them so that any can take charge when the regional head retires.

6. Conclusion

Succession planning keeps a pipeline of ready leaders, ensuring that the organisation is never left without leadership.

Marking scheme: Introduction 1 · process 3 · objectives 1 · types and benefits 2 · example 1 · conclusion 1 · challenges 1

Asked in: Important Questions - Unit 3, Q9

Part D - MCQs (25) - answers at the end

1. In the field review method, ratings are conducted by

A. a panel of external customers who deal directly with the employee
B. a senior director who rates all employees at the end of the year
C. the employee's own supervisor alone, without any help from HR staff
D. a trained HR staff member in the field who supports line managers

2. Training that uses a replica of the actual workplace away from production is

A. coaching
B. job rotation
C. apprenticeship
D. vestibule training

3. Organisational analysis of training needs looks at

A. the steps involved in performing a single task in the job
B. the organisation's goals, resources and climate
C. the age, qualification and family background of employees
D. the skills of one employee compared with the job standard

4. Career management is the

A. one-time test conducted at recruitment to decide an employee's pay grade
B. scheme of paying bonus to employees on the basis of company profit
C. continuous process of preparing, implementing and monitoring career plans
D. procedure of discharging surplus employees when the company downsizes

5. Development differs from training in that development is

A. only for new recruits
B. short-term and job-specific
C. long-term and career-oriented
D. only for workers

6. Which of the following is a MODERN method of performance appraisal?

A. Essay evaluation
B. Paired comparison
C. Confidential reports
D. 360-degree appraisal

7. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her

A. wage structure and fringe benefits
B. family background and social status
C. potential for development
D. seniority and length of service only

8. Training needs analysis at the 'task' level examines

A. the age and family background of the trainees
B. the knowledge and skills required to perform the job
C. the goals, resources and the climate of the whole organisation
D. the performance gaps of the individual employees

9. In SMART goals, the letter 'T' stands for

A. Tactical
B. Targeted
C. Tangible
D. Time-bound

10. Which is an off-the-job training method?

A. Job rotation
B. Classroom lectures
C. Apprenticeship
D. Coaching at the workplace

11. The need for training arises from

A. changes in technology, job requirements and performance gaps
B. the increase in the dividend paid to the shareholders
C. the shortage of finance for expansion of the business
D. fall in the demand for the company's products in the market

12. Which is an on-the-job training method?

A. Lecture in a seminar hall
B. Job rotation
C. Simulation lab away from work
D. Case study in a classroom

13. Placing all employees at the average of the scale to avoid hard conversations is

A. central tendency
B. leniency
C. halo effect
D. horns effect

14. BARS combines the rating scale with the

A. paired comparison
B. forced distribution
C. critical incident concept
D. essay method

15. Performance evaluation is NOT the same as

A. periodic review
B. employee feedback
C. systematic assessment
D. job evaluation

16. Giving low ratings on all traits because of one weak trait is the

A. halo effect
B. leniency bias
C. central tendency
D. horns effect

17. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the

A. results level
B. behaviour level
C. learning level
D. reaction level

18. Valuing human resources as organisational assets rather than expenses is done through

A. Essay evaluation and the check list method of appraisal
B. Human Resource (Asset) Accounting
C. Straight ranking and paired comparison of employees
D. Critical incident records and the confidential reports

19. The objectives of career planning include

A. avoiding any link between employee goals and the firm's needs
B. matching individual aspirations with organisational opportunities
C. increasing employee turnover so that fresh talent can be hired

D. reducing the number of promotions to control the wage bill

20. Keeping dated records of specific positive and negative incidents of an employee is the

A. paired comparison
B. critical incident method
C. forced distribution method
D. essay method

21. Person analysis of training needs identifies

A. which employees need training and what type
B. the goals and strategies of the organisation for the next five years
C. the equipment and budget available for the training programme
D. the duties and tasks to be performed in a particular job

22. Moving an employee through different jobs to widen skills is

A. job evaluation
B. job analysis
C. job rotation
D. job description

23. A demerit of off-the-job training is that it

A. may be costly and lacks real work conditions
B. it can be given only to employees who are about to retire
C. it does not allow the trainee to learn from the instructor
D. the trainee learns while doing the actual work with the machines

24. Systematically linking an individual's career needs with the organisation's workforce requirements is

A. job evaluation
B. collective bargaining
C. career development
D. retrenchment

25. Which is NOT a feature of performance appraisal?

A. Random and unplanned process
B. Periodic and planned
C. Objective assessment
D. Systematic process

MCQ answer key

1. **D**	6. **D**	11. **A**	16. **D**	21. **A**
2. **D**	7. **C**	12. **B**	17. **B**	22. **C**
3. **B**	8. **B**	13. **A**	18. **B**	23. **A**
4. **C**	9. **D**	14. **C**	19. **B**	24. **C**
5. **C**	10. **B**	15. **D**	20. **B**	25. **A**

MCQ answers with explanations

1. In the field review method, ratings are conducted by

Answer: D. a trained HR staff member in the field who supports line managers

Why correct: In field review a trained HR person in the field assists line managers.

A is wrong: Customer panels are not used.

B is wrong: A year-end director rating is not field review.

C is wrong: The supervisor alone is not field review.

2. Training that uses a replica of the actual workplace away from production is

Answer: D. vestibule training

Why correct: Vestibule training uses a replica of the workplace.

A is wrong: Coaching is on the job.

B is wrong: Job rotation is on the job.

C is wrong: Apprenticeship is on the job.

3. Organisational analysis of training needs looks at

Answer: B. the organisation's goals, resources and climate

Why correct: Organisational analysis looks at goals, resources and climate.

A is wrong: Steps of a task is task analysis.

C is wrong: Personal background is irrelevant.

D is wrong: One employee vs standard is person analysis.

4. Career management is the

Answer: C. continuous process of preparing, implementing and monitoring career plans

Why correct: Career management is the ongoing process of preparing, implementing and monitoring career plans.

A is wrong: A one-time test at recruitment is not an ongoing process.

B is wrong: Profit bonus is a reward scheme, not career management.

D is wrong: Downsizing is workforce reduction.

5. Development differs from training in that development is

Answer: C. long-term and career-oriented

Why correct: Development is long-term and career oriented; training is short-term.

A is wrong: It is for all employees, not only new ones.

B is wrong: That describes training.

D is wrong: Development is for managers and workers.

6. Which of the following is a MODERN method of performance appraisal?

Answer: D. 360-degree appraisal

Why correct: 360-degree appraisal is a modern method.

A is wrong: Essay evaluation is traditional.

B is wrong: Paired comparison is traditional.

C is wrong: Confidential reports are traditional.

7. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her

Answer: C. potential for development

Why correct: Beach's definition adds the person's potential for development.

A is wrong: Wages are not part of it.

B is wrong: Family background is irrelevant.

D is wrong: Seniority alone is not appraisal.

8. Training needs analysis at the 'task' level examines

Answer: B. the knowledge and skills required to perform the job

Why correct: Task analysis studies the knowledge and skills the job requires.

A is wrong: Age and family background are irrelevant.

C is wrong: Organisational goals are organisational analysis.

D is wrong: Individual gaps are person analysis.

9. In SMART goals, the letter 'T' stands for

Answer: D. Time-bound

Why correct: In SMART, T = Time-bound.

A is wrong: Tactical is not in SMART.

B is wrong: Targeted is not in SMART.

C is wrong: Tangible is not in SMART.

10. Which is an off-the-job training method?

Answer: B. Classroom lectures

Why correct: Classroom lectures happen away from the work place.

A is wrong: Job rotation is on-the-job.

C is wrong: Apprenticeship is on-the-job.

D is wrong: Coaching at work is on-the-job.

11. The need for training arises from

Answer: A. changes in technology, job requirements and performance gaps

Why correct: Training is needed when technology or job requirements change or performance falls short.

B is wrong: Dividend increase is unrelated.

C is wrong: Finance shortage is a business issue.

D is wrong: Falling demand is a business issue.

12. Which is an on-the-job training method?

Answer: B. Job rotation

Why correct: Job rotation trains at the workplace while working.

A is wrong: A seminar lecture is off the job.

C is wrong: A simulation lab away from work is off the job.

D is wrong: A classroom case study is off the job.

13. Placing all employees at the average of the scale to avoid hard conversations is

Answer: A. central tendency

Why correct: Central tendency puts everyone around the middle to avoid extremes and tough talks.

B is wrong: Leniency gives high scores, not average ones.

C is wrong: Halo effect lifts all scores because of one good trait.

D is wrong: Horns effect lowers all scores because of one bad trait.

14. BARS combines the rating scale with the

Answer: C. critical incident concept

Why correct: BARS (Behaviourally Anchored Rating Scale) joins a numeric scale with critical incidents - real behaviour examples placed at each scale point.

A is wrong: Paired comparison compares two employees at a time.

B is wrong: Forced distribution fits people into fixed percentage groups; it has no behaviour anchors.

D is wrong: The essay method is free-written description without a scale.

15. Performance evaluation is NOT the same as

Answer: D. job evaluation

Why correct: Performance evaluation judges the person; job evaluation judges the worth of the job.

A is wrong: Periodic review is part of evaluation.

B is wrong: Feedback is part of evaluation.

C is wrong: Systematic assessment is evaluation.

16. Giving low ratings on all traits because of one weak trait is the

Answer: D. horns effect

Why correct: Horns effect: one weak trait makes the rater score all traits low.

A is wrong: Halo effect is the opposite, raising all scores.

B is wrong: Leniency bias gives everyone high scores regardless of traits.

C is wrong: Central tendency means rating everyone average.

17. In Kirkpatrick's model, measuring whether trainees apply what they learned on the job is the

Answer: B. behaviour level

Why correct: Applying learning on the job is behaviour.

A is wrong: Results is organisational impact.

C is wrong: Learning is knowledge gained.

D is wrong: Reaction is satisfaction.

18. Valuing human resources as organisational assets rather than expenses is done through

Answer: B. Human Resource (Asset) Accounting

Why correct: Human Resource Accounting values people as assets.

A is wrong: Essay and check list are traditional methods.

C is wrong: Ranking and paired comparison are traditional methods.

D is wrong: Critical incidents and confidential reports are traditional methods.

19. The objectives of career planning include

Answer: B. matching individual aspirations with organisational opportunities

Why correct: Career planning matches personal aspirations with organisational opportunities.

A is wrong: Avoiding a link defeats the purpose.

C is wrong: Higher turnover is not an aim.

D is wrong: Fewer promotions is not an aim.

20. Keeping dated records of specific positive and negative incidents of an employee is the

Answer: B. critical incident method

Why correct: Recording dated good and bad incidents is the critical incident method.

A is wrong: Paired comparison compares pairs.

C is wrong: Forced distribution uses categories.

D is wrong: Essay method uses a written description.

21. Person analysis of training needs identifies

Answer: A. which employees need training and what type

Why correct: Person analysis finds who needs training and what kind.

B is wrong: Organisation goals are organisational analysis.

C is wrong: Equipment and budget are resources.

D is wrong: Tasks and duties are task analysis.

22. Moving an employee through different jobs to widen skills is

Answer: C. job rotation

Why correct: Job rotation moves staff between jobs to widen skills.

A is wrong: Job evaluation values jobs.

B is wrong: Job analysis studies jobs.

D is wrong: Job description lists duties.

23. A demerit of off-the-job training is that it

Answer: A. may be costly and lacks real work conditions

Why correct: Off-the-job training can be costly and is away from real work conditions.

B is wrong: It is not only for retirees.

C is wrong: Instructors do teach.

D is wrong: Learning by doing is on-the-job.

24. Systematically linking an individual's career needs with the organisation's workforce requirements is

Answer: C. career development

Why correct: Career development links personal career needs with the organisation's workforce needs.

A is wrong: Job evaluation values jobs.

B is wrong: Collective bargaining negotiates terms.

D is wrong: Retrenchment removes surplus staff.

25. Which is NOT a feature of performance appraisal?

Answer: A. Random and unplanned process

Why correct: Appraisal is planned and systematic, never random.

B is wrong: It is periodic and planned.

C is wrong: It should be objective.

D is wrong: It is systematic.